Table 1: Descriptive statistics

	Standardized Pay Rates				Non-Standardized/Flexible			
	Mean	SD	p(10)	p(90)	Mean	SD	p(10)	p(90)
Real Hourly Wages	8.76	3.62	4.44	13.72	7.91	3.41	4.12	12.70
log(Real Hourly Wages)	2.76	0.32	2.30	3.13	2.59	0.36	2.09	3.04
Workers at Pay Level	11.74	46.42	1.00	24.00	7.40	29.75	1.00	15.00
log(Workers at Pay Level)	1.36	1.28	0.00	3.18	0.91	1.18	0.00	2.71
Workers in Job	15.08	61.76	1.00	30.00	12.06	44.37	1.00	25.00
log(Workers in Job)	1.56	1.33	0.00	3.40	1.47	1.23	0.00	3.22
Workers in Est.	1188.49	4527.88	80.00	2326.00	1020.39	3236.28	70.00	2057.00
log(Workers in Est.)	5.99	1.31	4.38	7.75	5.84	1.33	4.25	7.63
Collective Bargaining	0.47	0.50	0.00	1.00	0.21	0.41	0.00	1.00
Share Office in Est.	0.33	0.21	0.11	0.66	0.40	0.25	0.12	0.81
Co-Workers' Occ. Level	2.65	0.16	2.44	2.84	2.61	0.18	2.36	2.83
Share Union, Ind.-Wage Area	0.44	0.44	0.00	1.00	0.22	0.36	0.00	1.00
Minimum Wage	2.96	0.59	2.02	3.35	3.09	0.52	2.30	3.35
log(Minimum Wage)	1.74	0.16	1.58	1.88	1.72	0.14	1.55	1.88
Share with Bonus	0.16	0.37	0.00	1.00	0.16	0.37	0.00	1.00
Share with Piece Rate	0.00	0.01	0.00	0.00	0.01	0.11	0.00	0.00
Share with COL Adj.	0.21	0.40	0.00	1.00	0.09	0.28	0.00	0.00
Observations	465300				435366			

	(1)	(2)	(3)
-6 yrs	0.007	-0.004	
	(0.005)	(0.006)	
-5 yrs	0.006	0.006	
	(0.004)	(0.006)	
-4 yrs	-0.002	-0.000	0.003
	(0.003)	(0.003)	(0.005)
-3 yrs	-0.001	0.003	-0.003
	(0.003)	(0.003)	(0.004)
-2 yrs	0.001	-0.001	-0.002
	(0.002)	(0.001)	(0.002)
0 yrs	-0.007	-0.009	-0.009
	(0.002)	(0.002)	(0.004)
1 yrs	-0.008	-0.010	-0.010
	(0.002)	(0.002)	(0.005)
2 yrs	-0.011	-0.009	-0.016
	(0.003)	(0.003)	(0.005)
3 yrs	-0.013	-0.011	-0.016
	(0.004)	(0.003)	(0.005)
4 yrs	-0.012	-0.017	-0.012
	(0.004)	(0.004)	(0.006)
5 yrs	-0.013	-0.013	
	(0.005)	(0.005)	
6 yrs	-0.012	-0.009	
	(0.005)	(0.006)	
R-squared	0.966	0.966	0.968
N	722,502	726,755	670,119
N switchers	12,677	13,054	2,787

Standard errors in parentheses

	(1)	(2)	(3)	(4)	(5)
Non-standardized Pay	-0.145	-0.108	-0.077	-0.008	-0.010
	(0.003)	(0.003)	(0.002)	(0.001)	(0.004)
log(Workers at Pay Level)	0.044	0.040	0.034	0.013	0.012
	(0.002)	(0.001)	(0.001)	(0.000)	(0.001)
log(Workers in Est.)	0.050	0.048	0.040	0.014	0.012
	(0.001)	(0.001)	(0.001)	(0.002)	(0.004)
log(Workers in Job)	-0.016	-0.023	-0.012	-0.016	-0.013
	(0.001)	(0.001)	(0.001)	(0.001)	(0.001)
log(Minimum Wage)	0.085	0.075	0.001	0.010	-0.001
	(0.011)	(0.010)	(0.010)	(0.004)	(0.005)
Collective Bargaining		0.034	0.021	0.002	-0.003
		(0.004)	(0.003)	(0.002)	(0.003)
Share Managerial, Clerical in Est.		0.018	-0.008	-0.002	-0.018
		(0.006)	(0.005)	(0.004)	(0.011)
Co-Workers' Occupational Level		0.556	0.262	0.006	0.002
		(0.008)	(0.006)	(0.004)	(0.008)
Union Density in Industry-Wage Area		0.049	0.030	-0.002	0.008
		(0.005)	(0.004)	(0.002)	(0.006)
Constant	2.206	0.742	1.760	2.608	2.643
	(0.021)	(0.029)	(0.023)	(0.018)	(0.033)
Fixed effects:					
Year	×	×			
Year X City X Ind. X Occup.			×	×	×
Occup. X Establishment				×	×
Year X Occup. X Firm					×
Observations	900359	852024	829626	769166	535106

	Inv. Row Wt.		Survey Wt.		CPS Wt.		N. Employees			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Non-standardized Pay	-0.077	-0.008	-0.071	-0.011	-0.076	-0.008	-0.070	-0.002	-0.073	-0.006
	(0.002)	(0.001)	(0.003)	(0.002)	(0.003)	(0.002)	(0.003)	(0.003)	(0.002)	(0.002)
Controls	×	×	×	×	×	×	×	×	×	×
Fixed effects:										
Year X City X Ind. X Occup.	×	×	×	×	×	×	×	×	×	×
Occup. X Estab.		×		×		×		×		×
Excl. largest 5% of job brackets									×	×
Observations	829626	769166	829626	769166	779649	722733	829626	769166	785896	728145

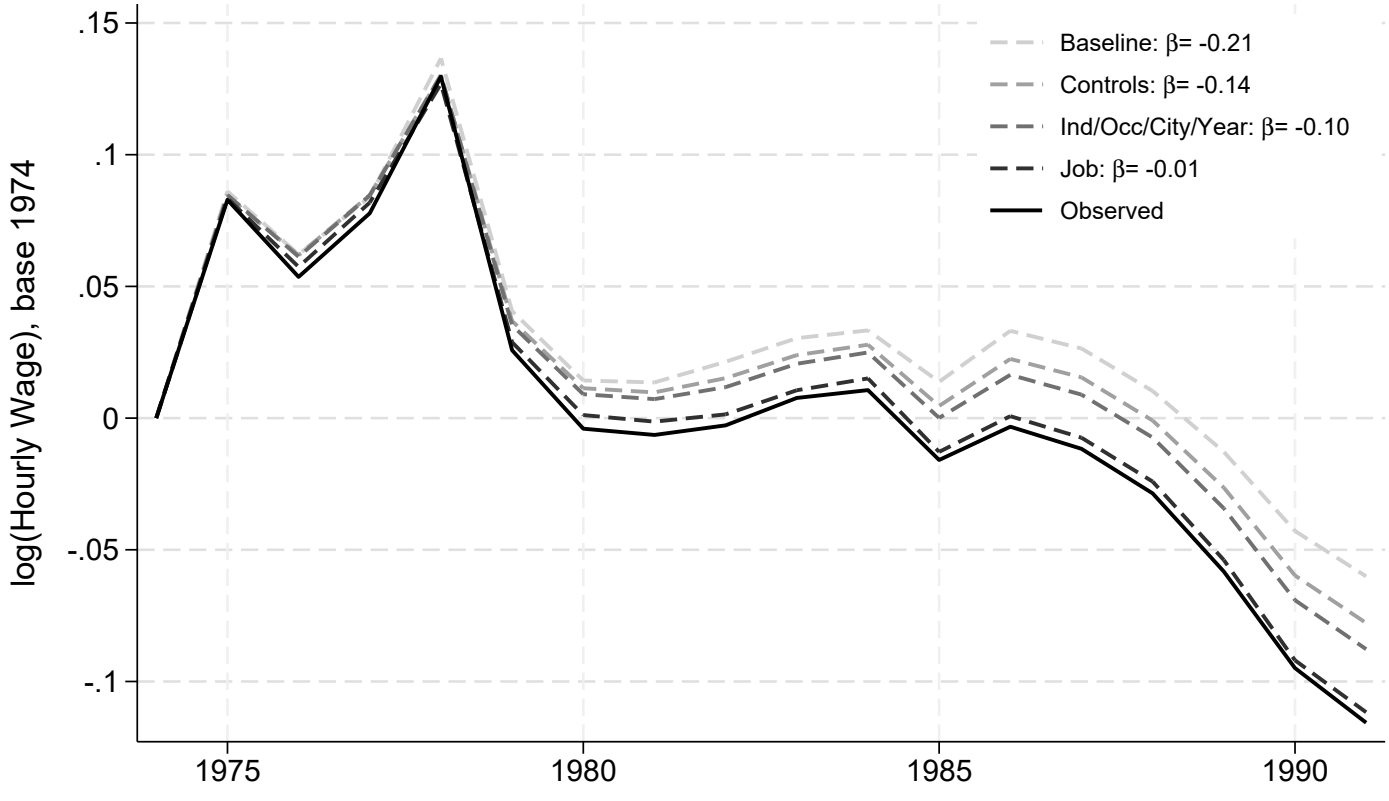
	(1)	(2)	(3)	(4)	(5)	(6)
Merit, Combination or Other	-0.077	-0.008				
	(0.002)	(0.001)				
Merit or Combination			-0.075	-0.009		
			(0.002)	(0.001)		
Merit (Narrow)					-0.064	-0.008
					(0.002)	(0.001)
Controls	×	×	×	×	×	×
Fixed effects:						
Year X City X Ind. X Occup.	×	×	×	×	×	×
Occup. X Establishment		×		×		×
Observations	829626	769166	829626	769166	829626	769166

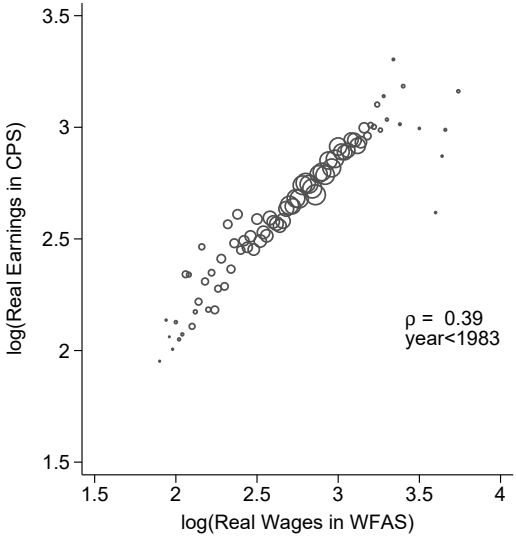
	(1)	(2)	(3)	(4)	(5)
Non-standardized Pay	-0.173	-0.039	-0.038	-0.027	-0.051
	(0.013)	(0.006)	(0.007)	(0.006)	(0.019)
Non-Standardized * Log(Estab. size)	0.002	0.004	0.004	0.003	0.006
	(0.002)	(0.001)	(0.001)	(0.001)	(0.003)
Log(Estab. size)	0.061	0.008	0.008	0.010	0.008
	(0.002)	(0.002)	(0.002)	(0.002)	(0.002)
Other regressors:					
Controls	×		×	×	×
Year	×	×	×		
Year X City X Ind. X Occup.				×	×
Occup. X Establishment		×	×	×	×
Year X Occup. X Firm					×
Observations	900370	838204	791404	769166	535106

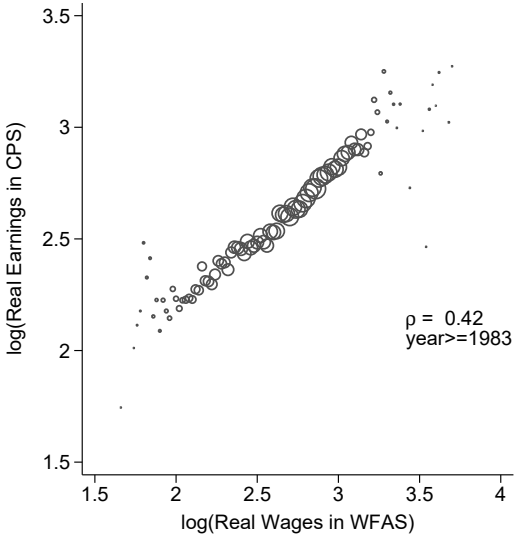
	(1)	(2)	(3)	(4)	(5)
Log(Job Growth)	0.017	0.019	0.018	0.016	0.014
	(0.002)	(0.002)	(0.002)	(0.002)	(0.007)
Collective Bargaining			0.004	0.003	0.003
			(0.005)	(0.005)	(0.005)
Share Managerial, Clerical in Est.			0.026	0.021	0.012
			(0.010)	(0.011)	(0.008)
Co-Workers' Occupational Level			0.016	0.019	-0.064
			(0.013)	(0.014)	(0.049)
Union Density in Industry-Wage Area			-0.000	0.007	0.000
			(0.006)	(0.006)	(0.008)
log(Minimum Wage)			0.058	0.047	0.001
			(0.010)	(0.012)	(0.001)
log(Workers in Est.)			-0.002	0.003	0.007
			(0.004)	(0.004)	(0.010)
Constant	0.117	0.123	-0.024	-0.111	0.178
	(0.009)	(0.014)	(0.050)	(0.051)	(0.148)
Fixed effects:					
Year	×	×	×		
Year X City X Ind. X Occup.				×	×
Occup. X Establishment		×	×	×	×
Year X Occup. X Firm					×
Observations	529877	472847	448643	430438	318399

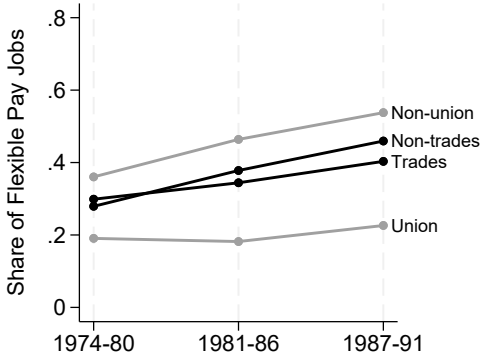
	Standardized pay rate jobs	Flexible pay jobs
General change	0.64	0.59
COLA	0.12	0.05
Only individual	0.02	0.10
No change	0.18	0.22
Bonus, incentive	0.03	0.02
Other	0.01	0.02

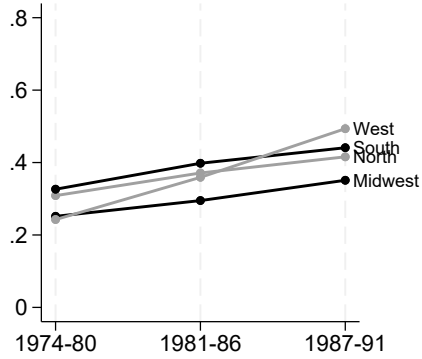
	(1)	(2)	(3)	(4)	(5)
Non-standardized Pay	-0.134	-0.123	-0.082	-0.012	-0.019
	(0.003)	(0.003)	(0.002)	(0.002)	(0.007)
Non-Standard × Sometimes union	0.051	0.044	0.019	0.005	0.012
	(0.008)	(0.007)	(0.005)	(0.003)	(0.009)
Non-Standard × Always union	0.099	0.091	0.035	0.017	0.016
	(0.007)	(0.006)	(0.004)	(0.003)	(0.010)
Sometimes union	0.136	0.102	0.060		
	(0.005)	(0.005)	(0.004)		
Always union	0.088	0.056	0.037		
	(0.004)	(0.005)	(0.004)		
Fixed effects					
Year	×	×			
Year X City X Ind. X Occup.			×	×	×
Occup. X Establishment				×	×
Year X Occup. X Firm					×
N	900,359	852,024	829,626	769,166	535,106
Linear combinations					
Non-Standardized + Non-Standardized ∗ Sometimes	-.083	-.078	-.063	-.007	-.007
	(0.007)	(0.007)	(0.005)	(0.002)	(0.006)
Non-Standardized + Non-Standardized ∗ Always	-.035	-.032	-.046	.005	-.003
	(0.006)	(0.005)	(0.004)	(0.003)	(0.007)

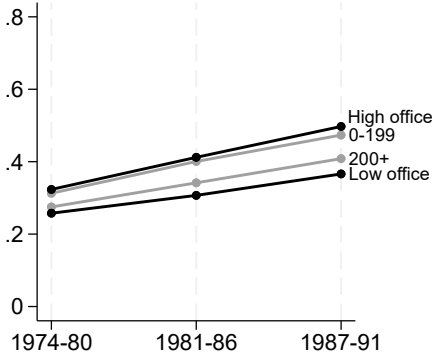

Baseline: β= -0.21
Controls: β= -0.14
Ind/Occ/City/Year: β= -0.10
Job: β= -0.01
Observed
log(Hourly Wage), base 1974
.15
.1
.05
0
-.05
-.1
1975
1980
1985
1990


3.5
3
2.5
2
1.5
log(Real Earnings in CPS)
ρ = 0.39
year<1983
1.5
2
2.5
3
3.5
4
log(Real Wages in WFAS)

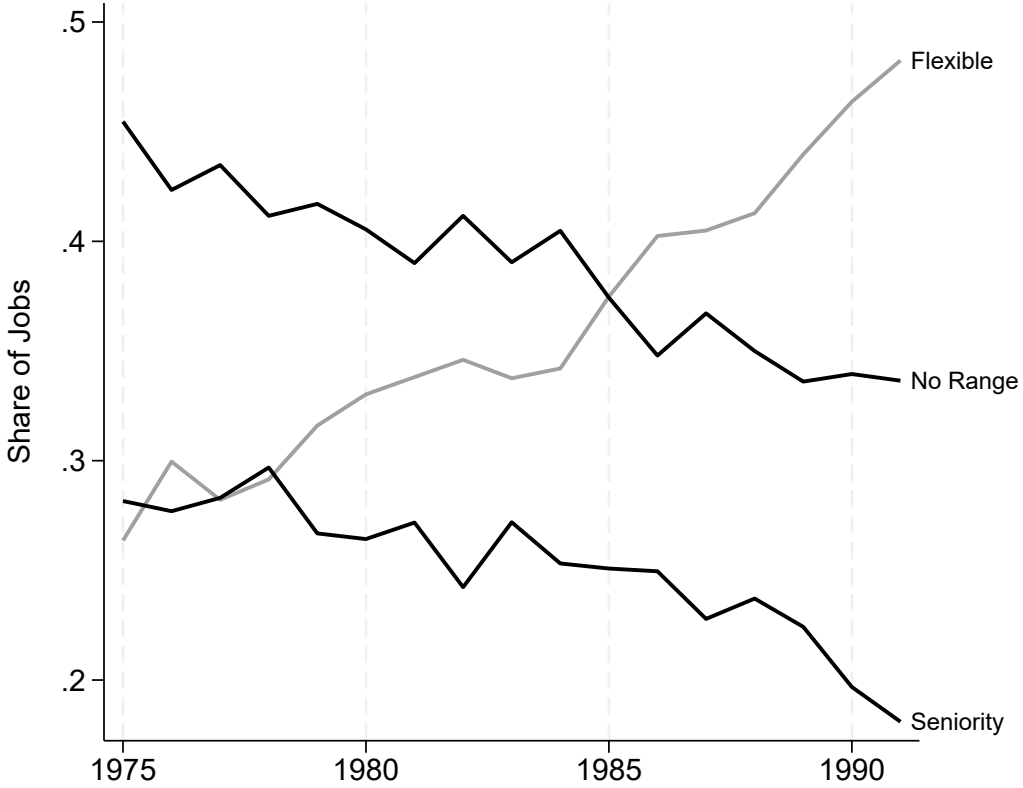

3.5
3
2.5
2
1.5
log(Real Earnings in CPS)
ρ = 0.42
year>=1983
1.5
2
2.5
3
3.5
4
log(Real Wages in WFAS)

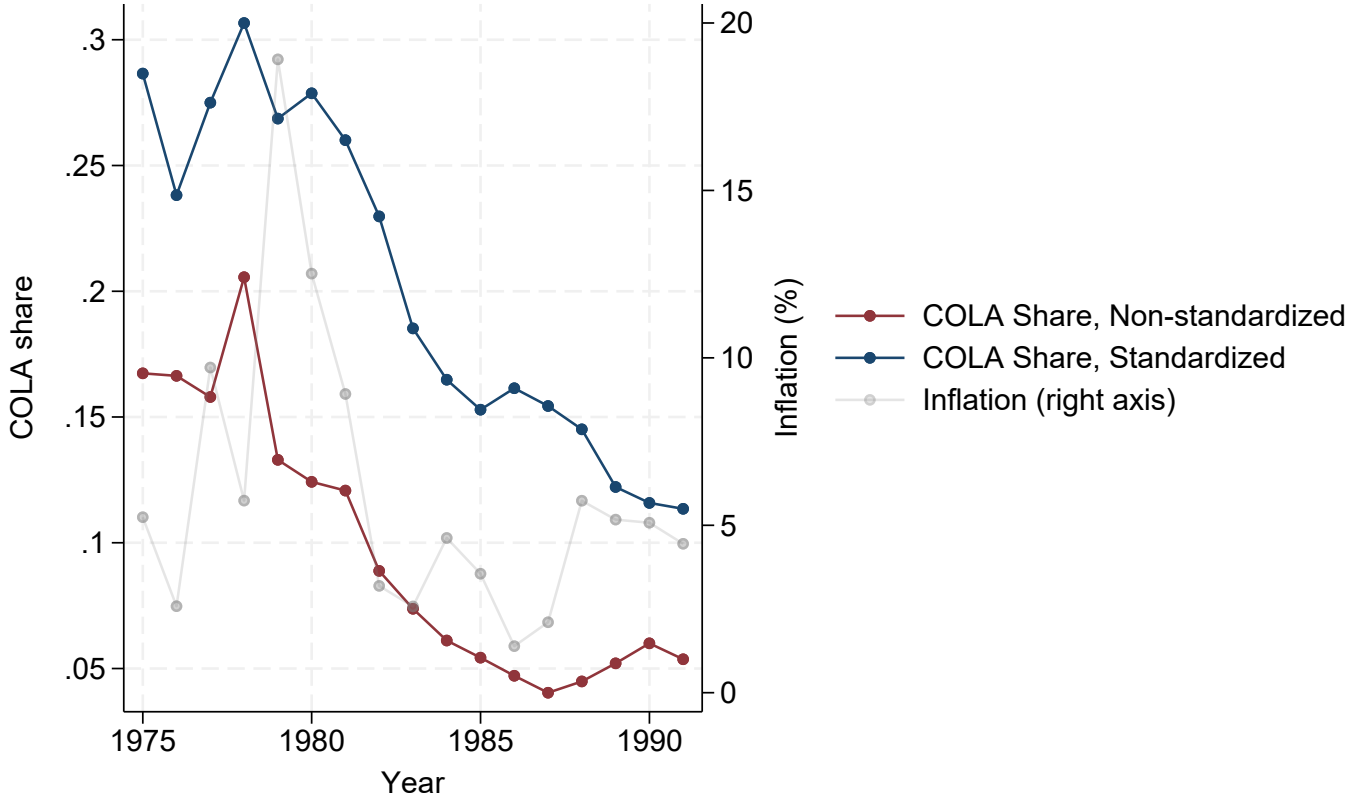

Share of Flexible Pay Jobs
.8
.6
.4
.2
0
1974-80
1981-86
1987-91
Non-union
Non-trades
Trades
Union

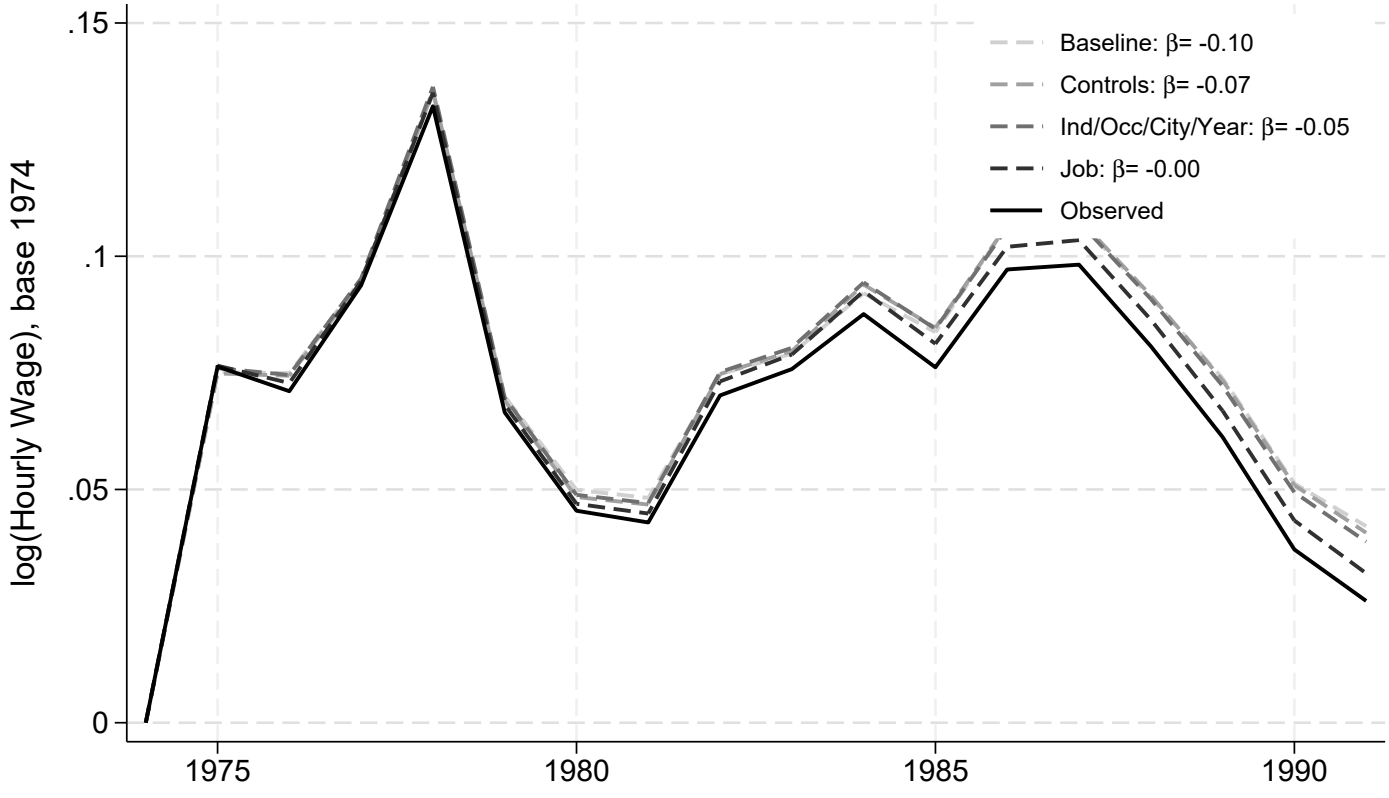

.8
.6
.4
.2
0
1974-80
1981-86
1987-91
West
South
North
Midwest

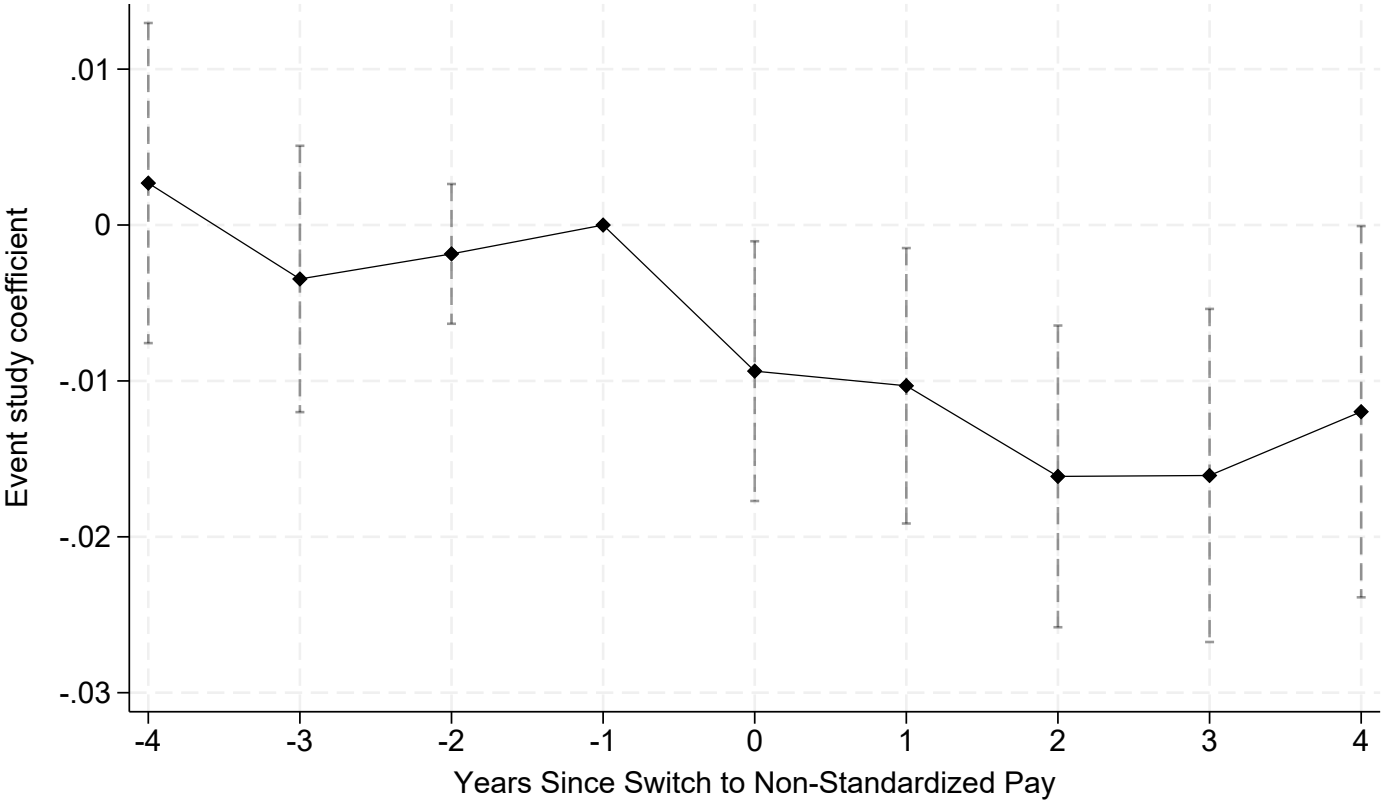

.8
.6
.4
.2
0
1974-80
1981-86
1987-91
High office
0-199
200+
Low office

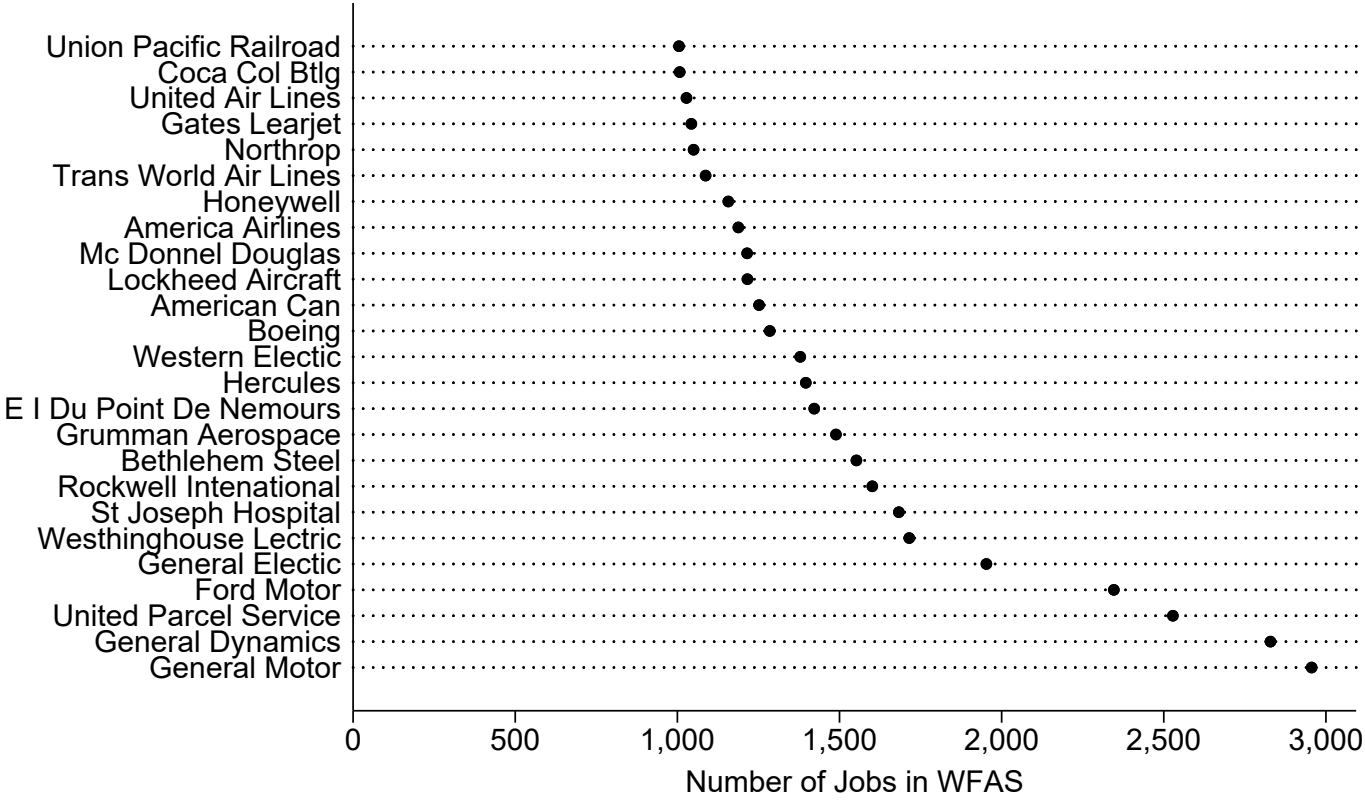
.8
.6
.4
.2
0
1974-80
1981-86
1987-91
Services
Wholesale
Manufacturing
Transportation
Mining

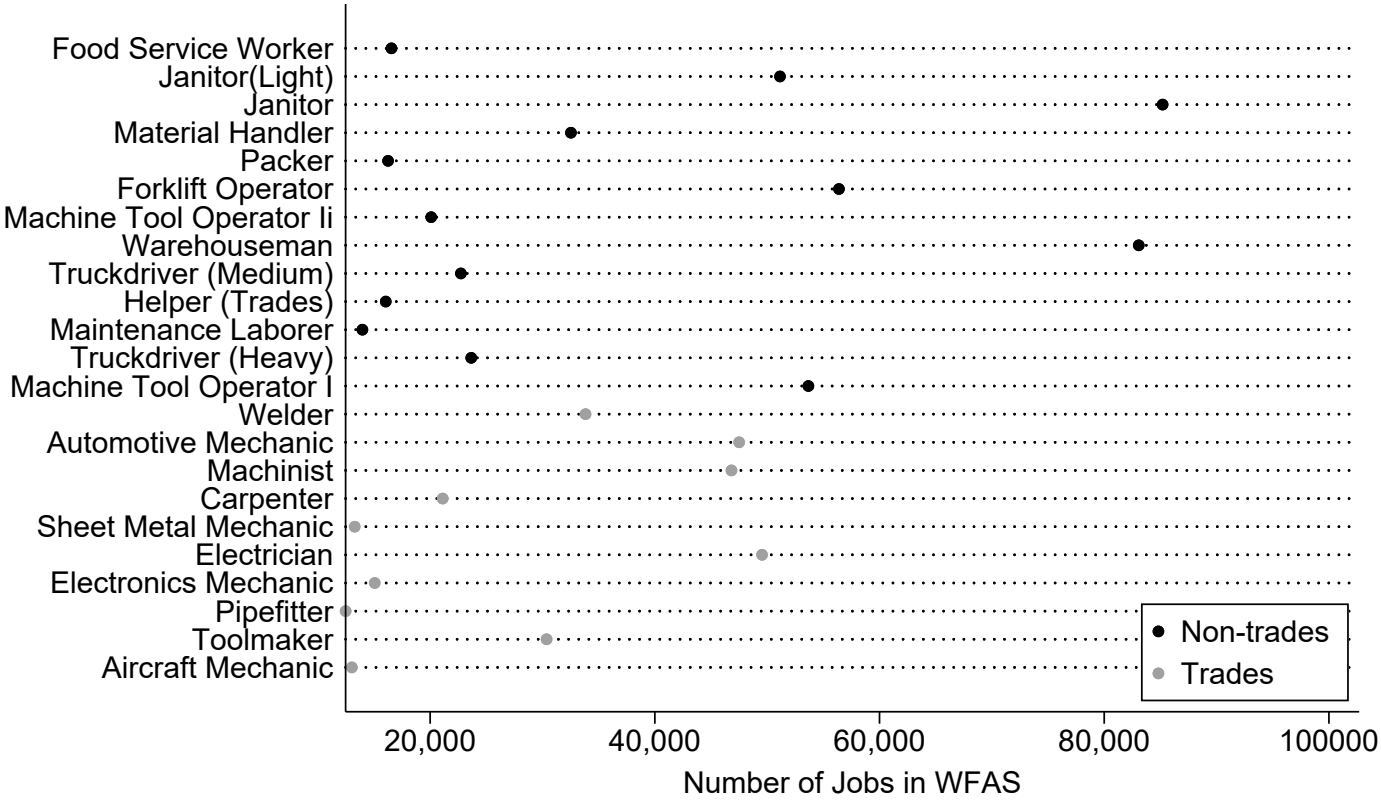

.5
.4
.3
.2
Share of Jobs
1975
1980
1985
1990
Flexible
No Range
Seniority

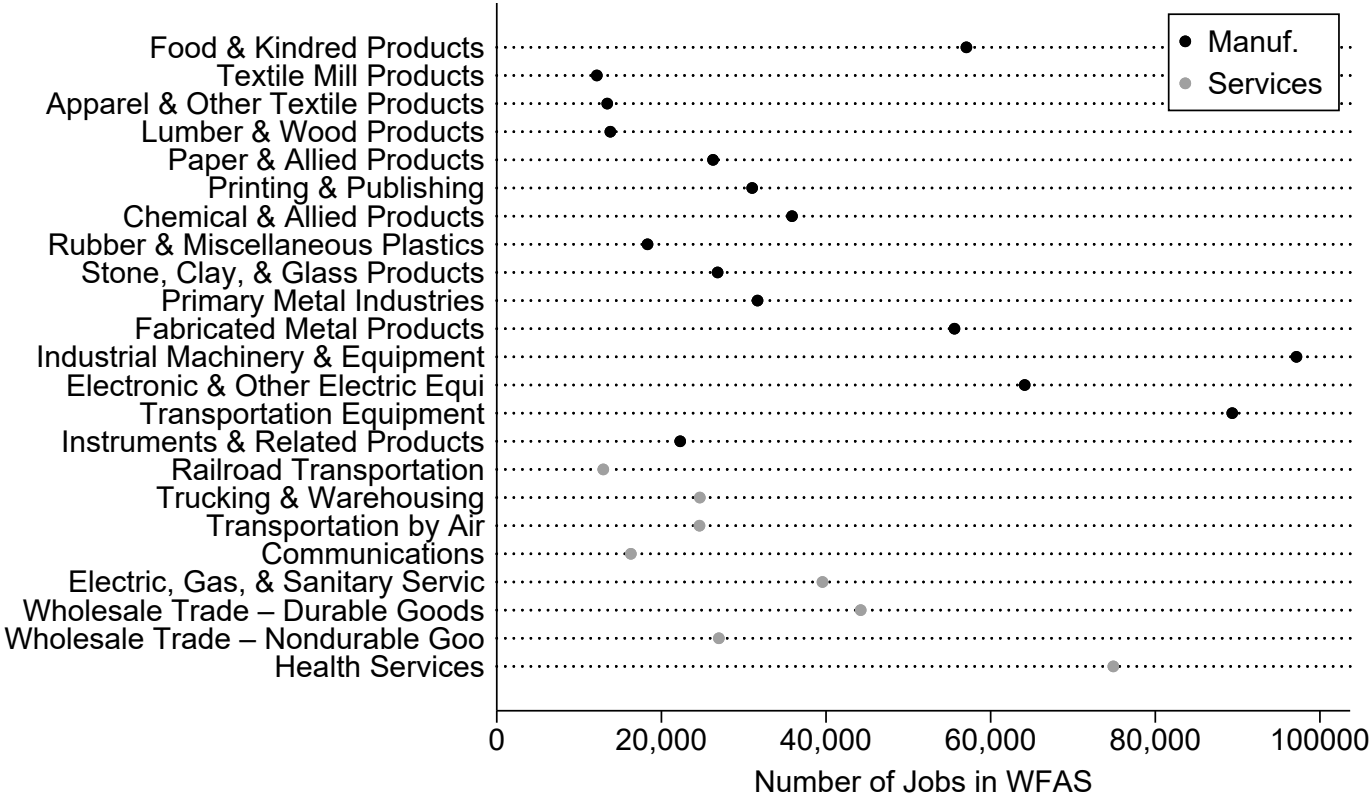

.3
.25
.2
.15
.1
.05
COLA share
20
15
10
5
0
Inflation (%)
1975
1980
1985
1990
Year
COLA Share, Non-standardized
COLA Share, Standardized
Inflation (right axis)

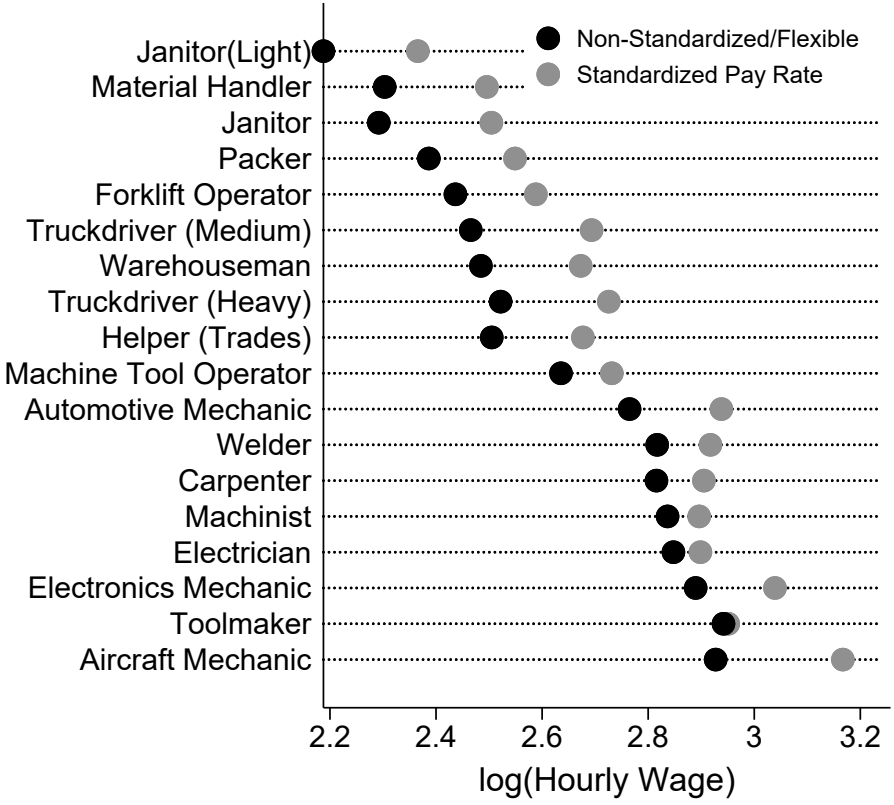

Baseline: β= -0.10
Controls: β= -0.07
Ind/Occ/City/Year: β= -0.05
Job: β= -0.00
Observed
log(Hourly Wage), base 1974
.15
.1
.05
0
1975
1980
1985
1990

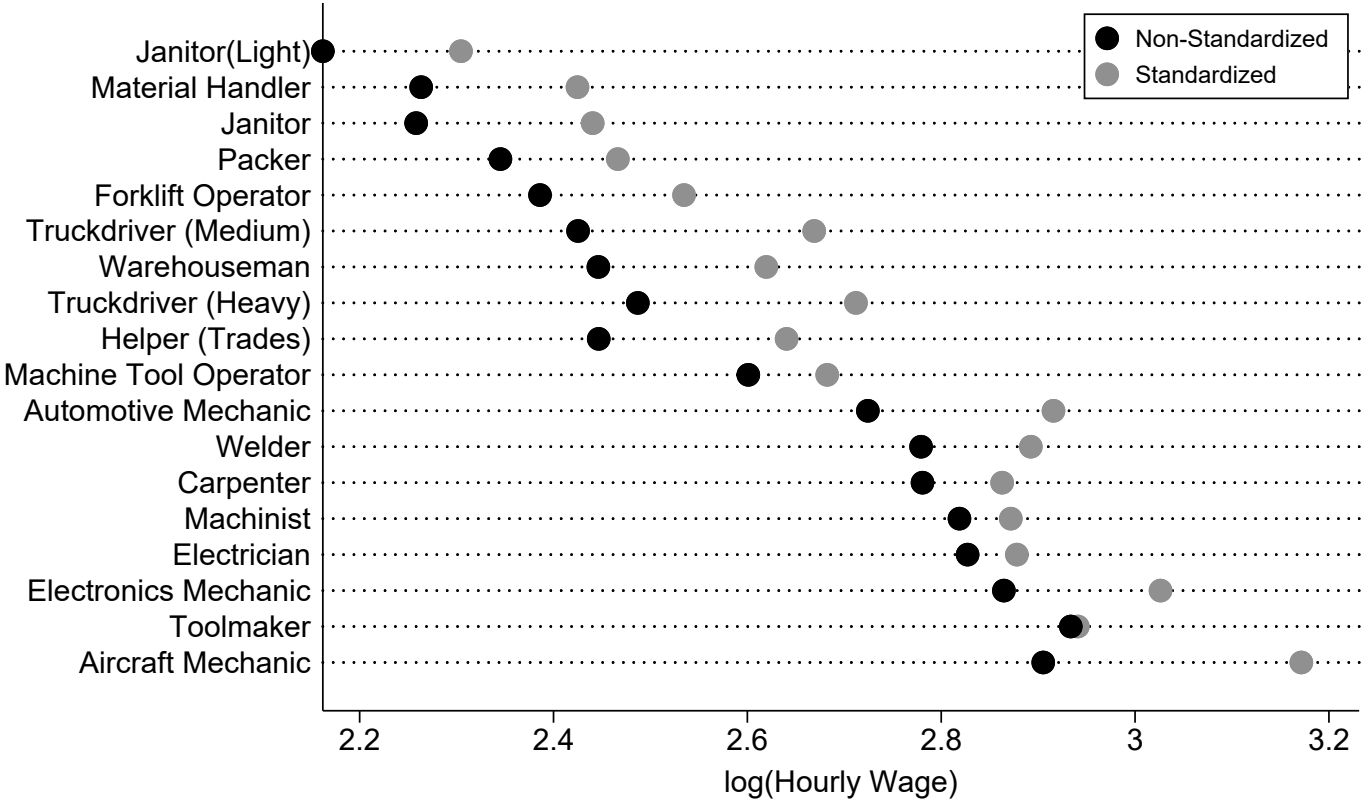

.01
0
-.01
-.02
-.03
Event study coefficient
-4
-3
-2
-1
0
1
2
3
4
Years Since Switch to Non-Standardized Pay

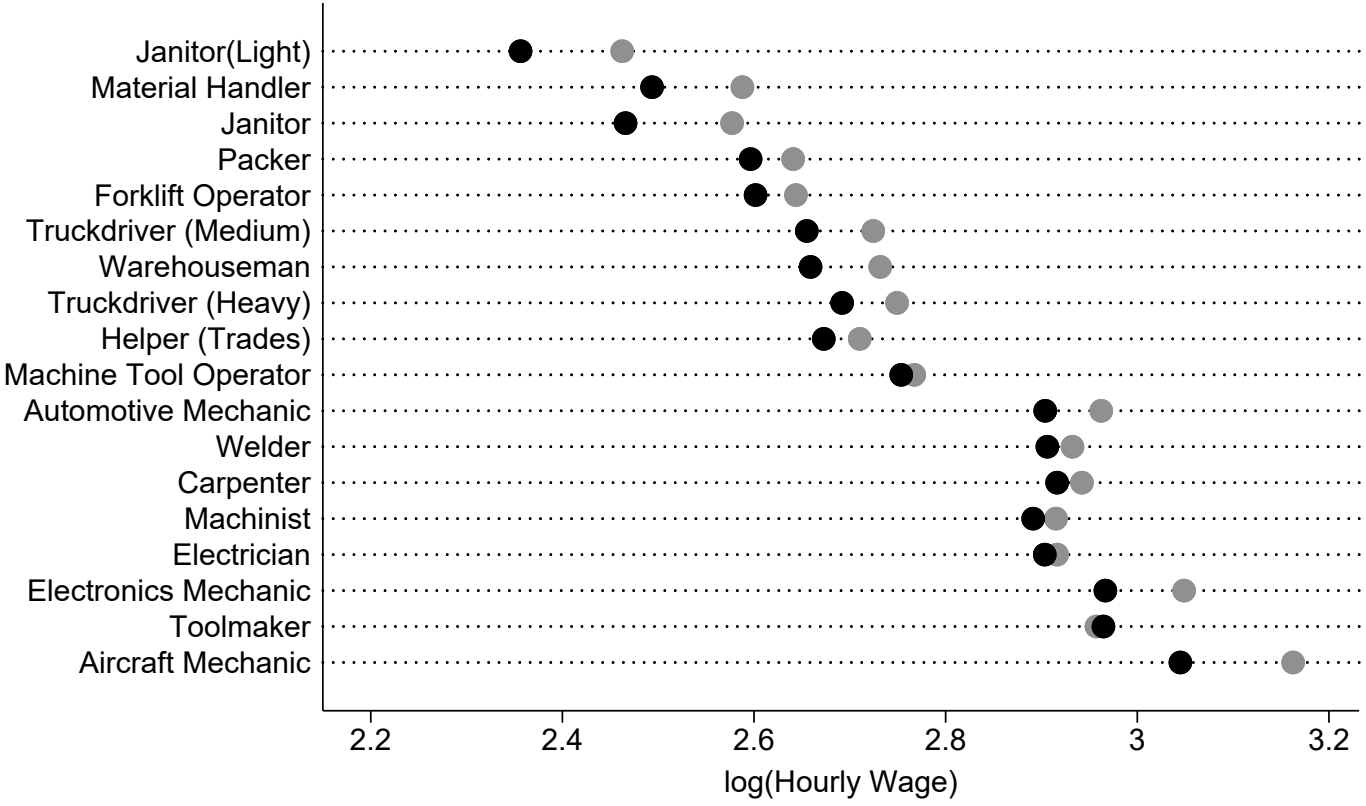

Union Pacific Railroad
Coca Col Btlg
United Air Lines
Gates Learjet
Northrop
Trans World Air Lines
Honeywell
America Airlines
Mc Donnel Douglas
Lockheed Aircraft
American Can
Boeing
Western Electic
Hercules
E I Du Point De Nemours
Grumman Aerospace
Bethlehem Steel
Rockwell Intenational
St Joseph Hospital
Westhinghouse Lectric
General Electic
Ford Motor
United Parcel Service
General Dynamics
General Motor
0
500
1,000
1,500
2,000
2,500
3,000
Number of Jobs in WFAS

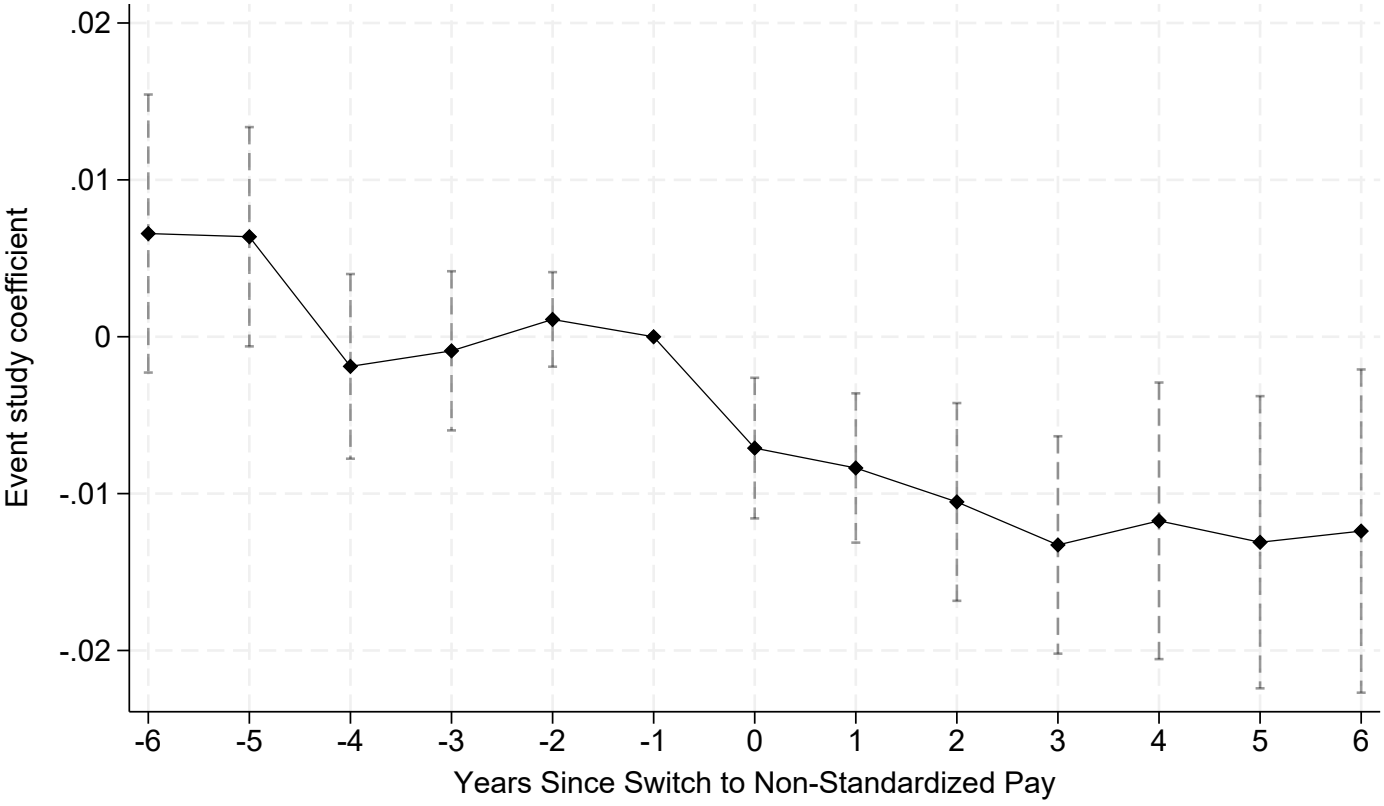

Food Service Worker
Janitor(Light)
Janitor
Material Handler
Packer
Forklift Operator
Machine Tool Operator Ii
Warehouseman
Truckdriver (Medium)
Helper (Trades)
Maintenance Laborer
Truckdriver (Heavy)
Machine Tool Operator I
Welder
Automotive Mechanic
Machinist
Carpenter
Sheet Metal Mechanic
Electrician
Electronics Mechanic
Pipefitter
Toolmaker
Aircraft Mechanic
Non-trades
Trades
20,000
40,000
60,000
80,000
100000
Number of Jobs in WFAS

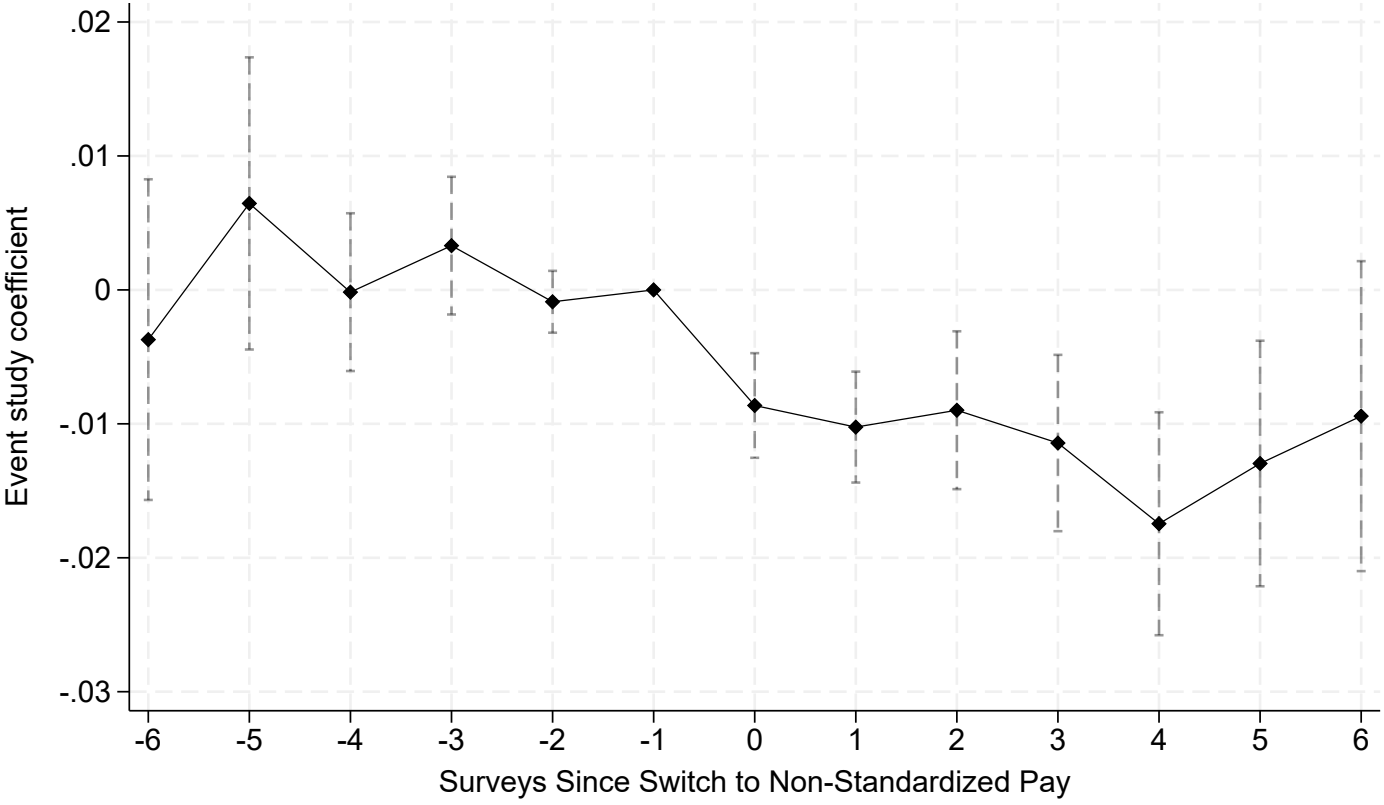

Food & Kindred Products
Textile Mill Products
Apparel & Other Textile Products
Lumber & Wood Products
Paper & Allied Products
Printing & Publishing
Chemical & Allied Products
Rubber & Miscellaneous Plastics
Stone, Clay, & Glass Products
Primary Metal Industries
Fabricated Metal Products
Industrial Machinery & Equipment
Electronic & Other Electric Equi
Transportation Equipment
Instruments & Related Products
Railroad Transportation
Trucking & Warehousing
Transportation by Air
Communications
Electric, Gas, & Sanitary Servic
Wholesale Trade – Durable Goods
Wholesale Trade – Nondurable Goo
Health Services
Manuf.
Services
0
20,000
40,000
60,000
80,000
100000
Number of Jobs in WFAS

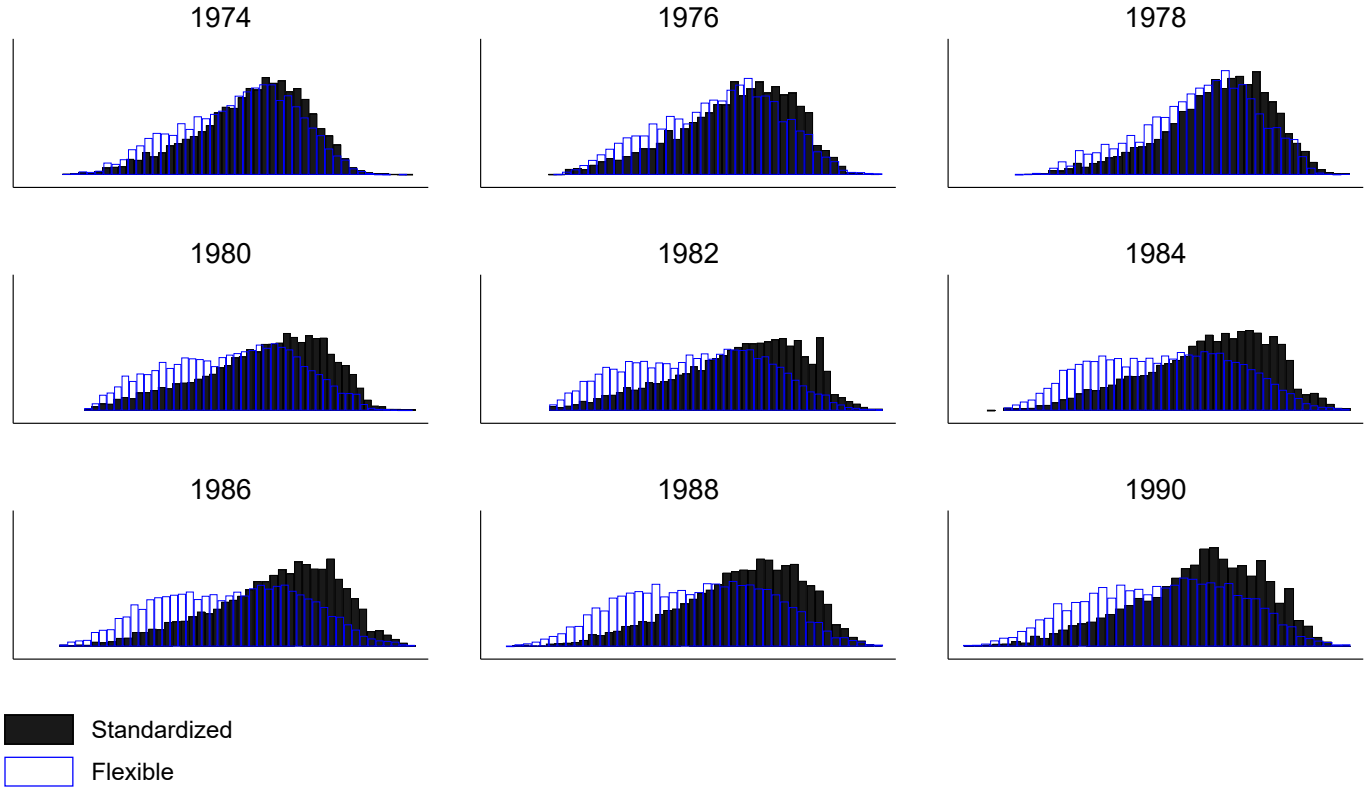

Non-Standardized/Flexible
Standardized Pay Rate
Janitor(Light)
Material Handler
Janitor
Packer
Forklift Operator
Truckdriver (Medium)
Warehouseman
Truckdriver (Heavy)
Helper (Trades)
Machine Tool Operator
Automotive Mechanic
Welder
Carpenter
Machinist
Electrician
Electronics Mechanic
Toolmaker
Aircraft Mechanic
2.2
2.4
2.6
2.8
3
3.2
log(Hourly Wage)

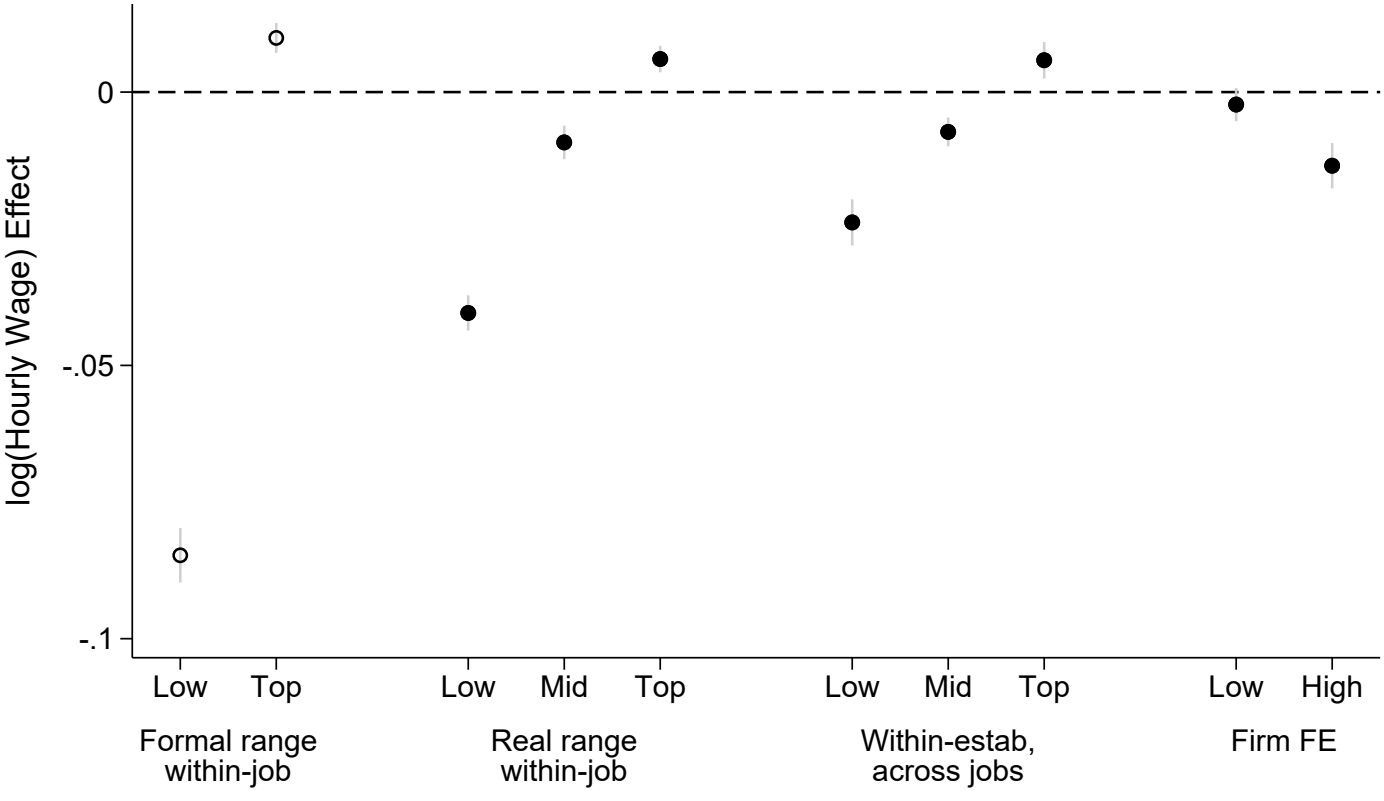

Non-Standardized
Standardized
Janitor(Light)
Material Handler
Janitor
Packer
Forklift Operator
Truckdriver (Medium)
Warehouseman
Truckdriver (Heavy)
Helper (Trades)
Machine Tool Operator
Automotive Mechanic
Welder
Carpenter
Machinist
Electrician
Electronics Mechanic
Toolmaker
Aircraft Mechanic
2.2
2.4
2.6
2.8
3
3.2
log(Hourly Wage)

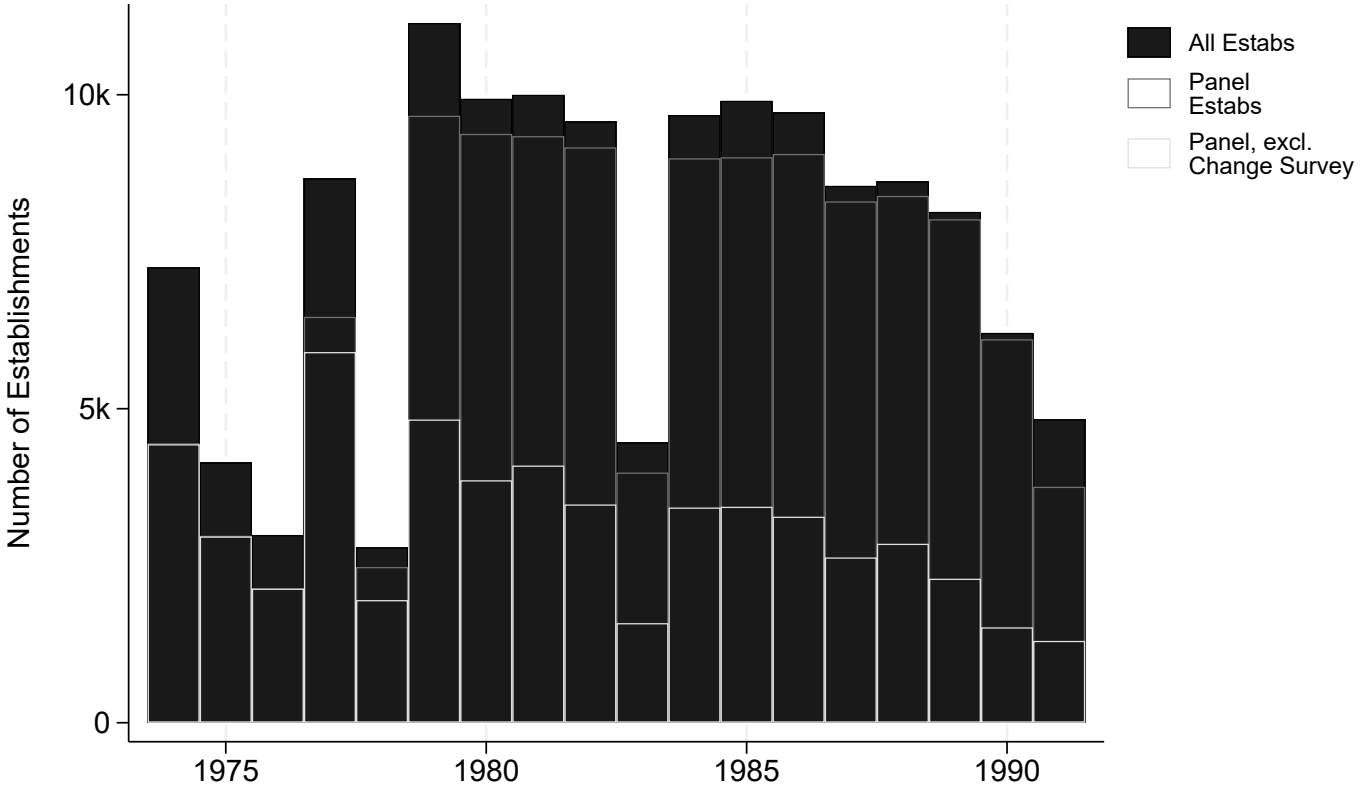

Janitor(Light)
Material Handler
Janitor
Packer
Forklift Operator
Truckdriver (Medium)
Warehouseman
Truckdriver (Heavy)
Helper (Trades)
Machine Tool Operator
Automotive Mechanic
Welder
Carpenter
Machinist
Electrician
Electronics Mechanic
Toolmaker
Aircraft Mechanic
2.2
2.4
2.6
2.8
3
3.2
log(Hourly Wage)

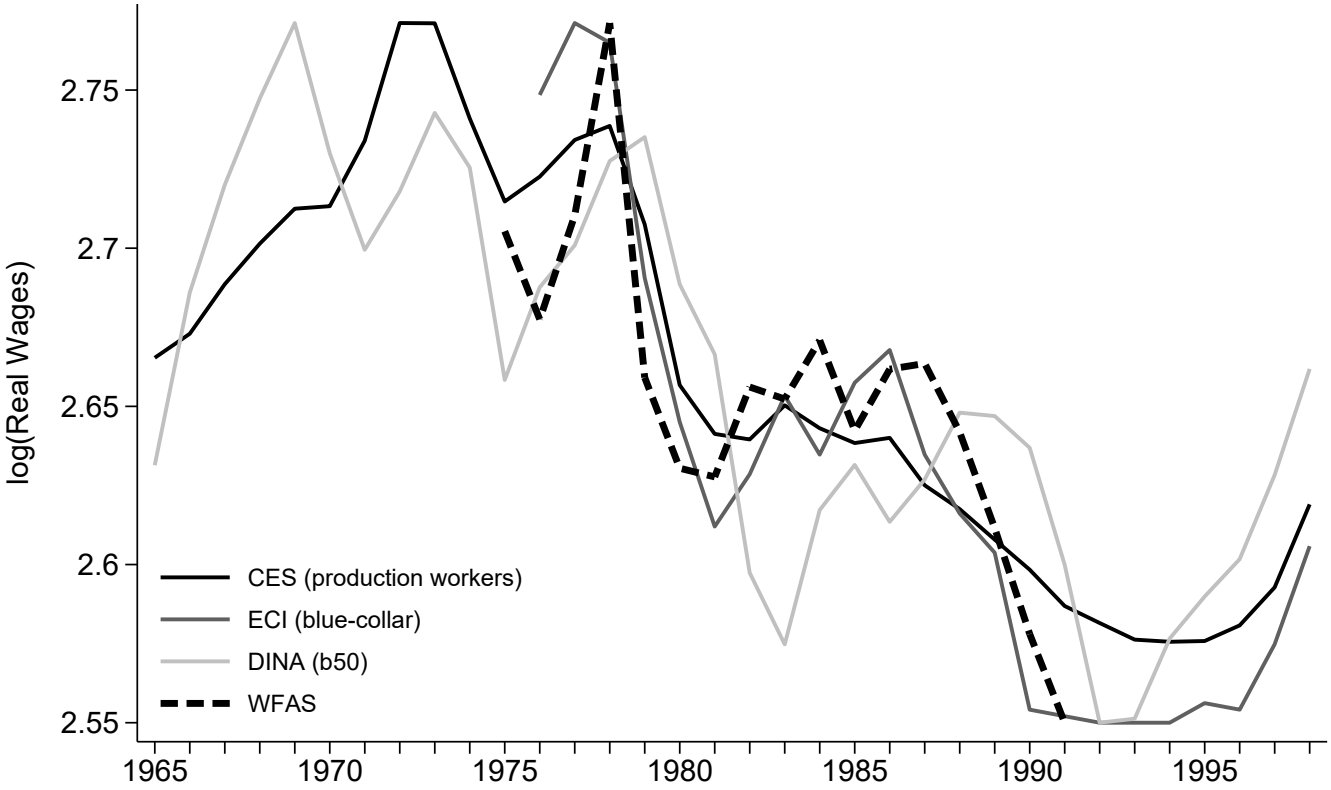

.02
.01
0
-.01
-.02
Event study coefficient
-6
-5
-4
-3
-2
-1
0
1
2
3
4
5
6
Years Since Switch to Non-Standardized Pay


.02
.01
0
-.01
-.02
-.03
Event study coefficient
-6
-5
-4
-3
-2
-1
0
1
2
3
4
5
6
Surveys Since Switch to Non-Standardized Pay


1974
1976
1978
1980
1982
1984
1986
1988
1990
Standardized
Flexible


log(Hourly Wage) Effect
0
-.05
-.1
Low
Top
Low
Mid
Top
Low
Mid
Top
Low
High
Formal range within-job
Real range within-job
Within-estab, across jobs
Firm FE


All Estabs
Panel Estabs
Panel, excl. Change Survey
Number of Establishments
10k
5k
0
1975
1980
1985
1990


log(Real Wages)
2.75
2.7
2.65
2.6
2.55
1965
1970
1975
1980
1985
1990
1995
CES (production workers)
ECI (blue-collar)
DINA (b50)
WFAS